

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

<think>
Josh initially paid \$80,000 to buy the house. He added \$50,000 in repairs. So, the total amount spent on the house is \$80,000 + \$50,000 = \$130,000.

The increase in the house's value is 150% of its original price. To find the house's initial value, we can use the formula: <initial_value> = <new_value> / <increase_percentage> = <house_cost_after_repair> / 150.

Given that the final value is the original cost + the repair cost, it's 100% original value + 150% increase, resulting in 250% of the initial cost. <house_cost_after_repair> = 250% * <initial_value> = <house_cost_after_repair>.

<initial_value> = <house_cost_after_repair> / 250

Then, the profit = <new_value> - <spent>.

Where <new_value> = <initial_value> + 150% of <initial_value> = <initial_value> * (1 + 150%) = <initial_value> * 2.5.

Hence, <profit> = <new_value> - <spent>.

Let's formulate the given numbers to find the final profit.

- 1. <initial_value> = <house_cost_after_repair> / 250.
- 2. <new_value> = <initial_value> * 2.5.
- 3. <spent> = \$130,000.
- 4. <profit> = <new_value> - <spent>.

Finally, we solve for <profit> with given numbers:
<profit> = (<house_cost_after_repair> * 2.5) - 130,000.

</think>
<answer>
45000</answer>

